Go Back

IVE: MODEL, SIMULATE & TEST

VISUAL MODELLING

Modeling, simulating, and testing are done throughout the design process to ensure each level of design can credibly meet all functional requirements within a performance range that generates a Market Creation Margin of 30% or higher

The MCM is a measure of a venture's robustness and its ability to absorb variability in operational performance as well as completely unforeseen costs. It is calculated as a percentage of the high-end estimate of total unit costs (including cost of capital). It has a conservative and a best-case version.

Four types of models are used to support the design & build process, each providing a different "view" of the venture. **The Business Architecture Logic Model is a written description of the business form factor**; it explains how the venture solves the ten universal functional requirements.

The remaining three models are visual depictions of how the venture works. The Customer Transformation Model shows the change that must be brought about by the 4-D Product in target customers' mental, emotional, and behavioral states to move them along the customer journey. The At-scale Operational Model traces the movement or "flow" of the 4-D Product from the head office down to and back from the target customer. The At-scale Resourcing Model illustrates the direct activities required to make and move the 4-D Products and identifies the personnel responsible for executing the activities and any additional assets and resources they require.

The At-scale Financial Simulation calculates the MCM by translating the three visual models into numbers. It's called "at-scale" because the cash flows are first calculated for the venture once it's achieved its credible at-scale customer base; that baseline is then used to calculate the cash flows of getting to scale. Working "backwards" in this way prevents the penetration rate from unwittingly rising to a level that isn't credible. It's called a "simulation" because the inputs are derived directly from the three visual models and the activities required to make and manage the movement of the 4-D Product. That ensures it has high fidelity with the business architecture and accurately represents the underlying logic of how the venture works. Together, they make the assumptions behind the numbers transparent and allow the logic in the business architecture to be rigorously stress-tested.

What is the At-Scale Operational Model?

The At-Scale Operational Model (AOM) is an operations-centric view of how the venture works once it's scaled and operating as a going concern

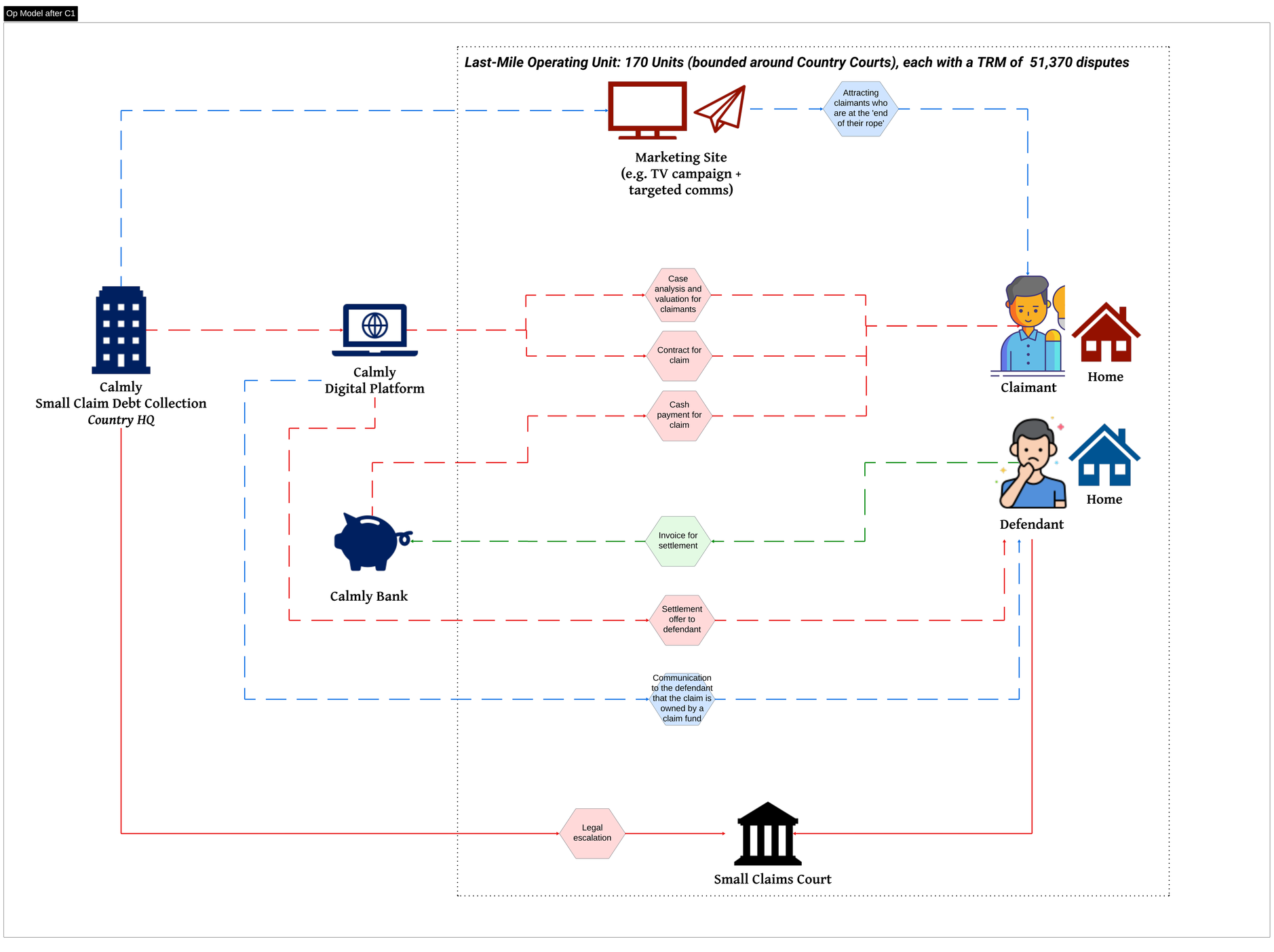
It illustrates the journey the 4-D Products take to get to the customer. Specifically, it shows where 4-D Products originate, and the key places and partners they travel through to reach the customer.

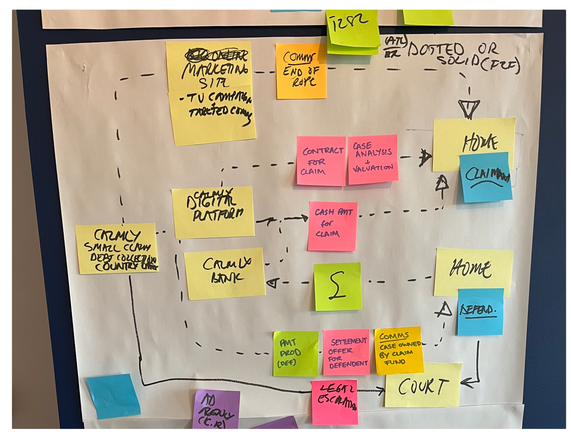
The AOM is also "unitized"—it demarcates the venture's levels of operation, starting with the last-mile operating unit serving the end user and working backwards to the venture's head office unit.

The unitized structure brings clarity to what needs to be pilot tested and eventually replicated when a venture scales, as operating units are the fundamental building block of a venture.

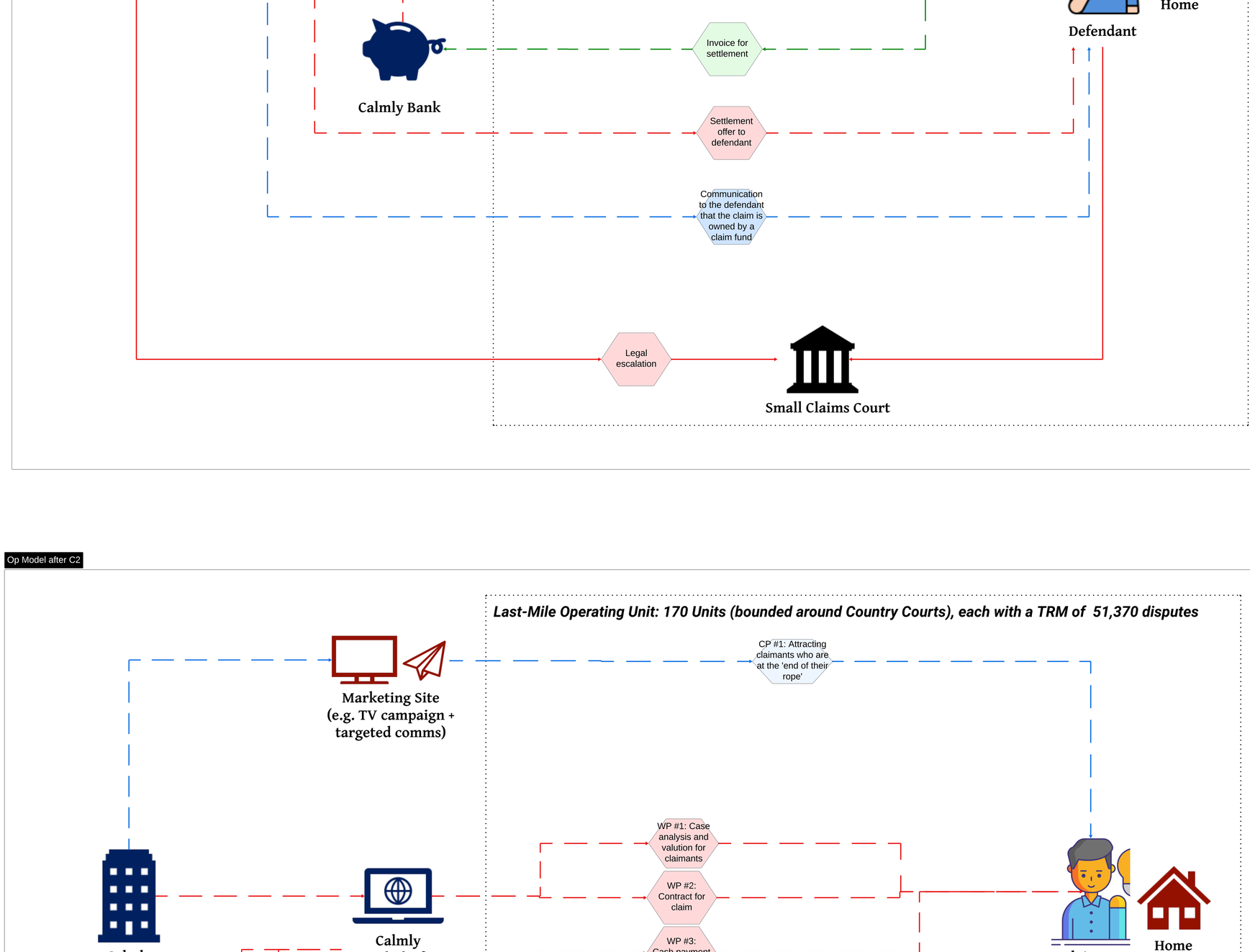
Outputs:

Op Model after C1





Op Model after C2



Erik: Think we should show any flow of cash out of calmly and cash into calmly (separate from payment product)

Once we break out the CTM to show every escalation, this will need to be updated